

A Project Report on “A study on Impact of Geo-political events on Share prices”

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I, Patel Isha Uday, student of TYBBA (Semester-VI), hereby declare that the project report entitled “A study on impact of geo-political events on share prices” is the original piece of research work carried out by me for my BBA degree from SDJ International College, affiliated to Veer Narmad South Gujarat University, Surat. I further declare that all the data and information collected through secondary sources are duly acknowledged in the report.

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CHAPTER-1 INTRODUCTION



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1.1 Introduction to the study

Political conflicts and wars, pandemics, trade disputes, currency shocks, sanctions, natural disasters and sudden changes in diplomatic relationships have shaken the world economy over the past five years. These events range from local conflicts to global crises and have affected stock market behavior. They have influenced the rise and fall of share prices and shaped market operations.

In recent years, geopolitical risk has intensified. The COVID-19 pandemic in 2020, the EU-UK trade disputes from 2021 to 2023, the UK political crisis in 2022, the Russia-Ukraine War in 2022, the China-Taiwan tensions from 2022 to 2024, the Israel-Hamas conflict in 2023, the Canada-India diplomatic dispute in 2023, the withdrawal of the ₹2000 currency note in 2023, the Italy budget crisis, and EU fiscal rule disputes from 2023 to 2024, the political instability in France and snap elections in 2024, the Red Sea Crisis in 2024 and the U.S.-China technology and economic tensions in 2025 have all shown how quickly market panic can spread now. Factors like modern communication systems, algorithmic trading, global media coverage and online trading platforms play a significant role in this.

Geopolitics is crucial for emerging economies like India. The Indian stock market is heavily influenced by foreign institutional investors (FIIs). These investors shift their funds based on the global risk appetite, causing sharp fluctuations in the Sensex and Nifty even when events happen outside India. Understanding how geopolitical events impact markets offers valuable insights into international markets, investor behavior and sector vulnerabilities.

This paper provides a detailed chronological review of how geopolitical events traditionally affect world stock markets. It aims to identify patterns that emerge from such turmoil. The research focuses on events from 2020 to 2025 to understand behavioral responses and compare market reactions in developed and developing economies.

Identifying past market reactions can help investors, policymakers, businesses and students gain knowledge to navigate future uncertainties. This understanding is increasingly vital as geopolitical uncertainty has grown. Geopolitical risk has acquired new dimensions with digital warfare, misinformation campaigns and AI-driven economic strategies. These ongoing shifts highlight the importance of studying how stock markets react to unpredictable shocks.

Other strong motives for the research include increasing participation by retail investors in financial markets. Facilitated by mobile trading applications and socially driven sentiment, greater access to an increasingly wide-ranging financial platform tends to provide even minor events originating worldwide with the potential to create panic or euphoria among retail investors and to further amplify market volatility during crises. Greater awareness of geopolitical influences may allow new investors to avoid panic selling, emotionally driven decisions and poor risk management.

1.2 Need for the study

This study is necessary because:

- Geopolitical events are increasing in frequency and intensity.
- Financial markets react strongly and unpredictably.
- Some investors want a deeper understanding of risk patterns.
- Helps to fill an important gap in Indian scholarship.
- It gives insight into impacts that are sector-specific and country-specific.

The way in which different geopolitical events affect stock prices is of utmost significance in the current financial scenario because financial markets are highly affected by global events. Stock markets do not operate in a manner that is solely a result of what is happening inside their borders, rather, with the growing level of global connectivity, they react almost instantly to news from outside their borders related to wars, political instabilities, pandemics, sanctions, trade conflicts and massive policy shifts.

This is an extremely significant topic to discuss, as over the past few years, geopolitical events have begun to become more and more frequent and unpredictable. The COVID-19 pandemic, the Russia-Ukraine War, the Red Sea crisis and the tensions between the United States and China have demonstrated how one single event, which is largely unexpected, can cause chaos in global markets. Investors, especially new investors, tend to behave emotionally in light of such events. Panic selling or uncontrolled buying is usually witnessed in the case of such investors. By analyzing a brief history of major geopolitical events and their impact on stock prices, investors are likely to pick up on market trends and behave sensibly in a crisis.

Secondly, there is a lack of academic research in India that encompasses a broad spectrum of geopolitical events in the past and present. The nature of most academic research available today is such that it studies only one event at a time. This paper tries to bridge this gap by offering an in-depth analysis that can help the reader understand how markets react to different types of geopolitical events. This makes the study both relevant and necessary in today's fast-changing global environment.

1.3 Objectives of the study

1. To analyse the impact of selected geopolitical events on share prices.
2. To examine short-term, medium-term and long-term stock market reactions to geopolitical events.
3. To determine whether geopolitical events cause statistically significant changes in share prices.
4. To assess variations in market response across different types of geopolitical events.

1.4 Scope of the study

- Time span: 2020 to 2025
- Events: The COVID-19 pandemic of 2020, The EU-UK trade disputes (2021-2023), The UK political crisis (2022), The Russia-Ukraine War in 2022, The China-Taiwan Tensions (2022-2024), The Israel-Hamas conflict (2023), The Canada-India diplomatic dispute (2023), The withdrawal of ₹2000 currency note (2023), The Italy budget crisis & EU fiscal rule disputes (2023-2024), The France political instability & snap elections (2024), The Red Sea Crisis in 2024 and The U.S.-China technology & economic tensions (2025)
- Markets: U.S., Canada, U.K., Europe, Asia, India, Middle East
- Indices: Nifty 50, FTSE 100, IT40, FT40, TRX, etc.
- Methodology: Paired sample T-test
- Data Sources: 50+ open-access papers, historical index movement data

1.5 Limitations of the study

1. Dependence on Secondary Data: The study relies entirely on secondary data such as historical price movements, research papers and global event reports. Accuracy depends on the reliability of these sources.
2. Events Overlap and Interact: Many geopolitical events occur simultaneously. It is difficult to isolate the pure impact of each individual event.
3. Market Behavior Influenced by Multiple Factors: Share prices also react to monetary policy, corporate news, interest rates and economic indicators, making it challenging to attribute changes solely to geopolitics.
4. Behavioral Reactions are difficult to Quantify: Emotions such as fear, panic and herd behavior influence markets, but these psychological factors cannot be precisely measured.
5. Differences in Market Maturity Across Countries: Developed and emerging markets react differently to similar events, which limits universal generalization.
6. Absence of Primary Data: No investor surveys or interviews were conducted, so the study does not capture personal investor psychology directly.

1.6 Research Gap

Thus, this study fills a strong and meaningful research gap by offering:

- A multi-decade, multi-event, multi-index analysis
- A global and Indian market comparison
- Sectoral, behavioral and historical insights
- One of the largest geopolitical-market mapping attempts at BBA level

This makes the study unique, academically relevant and highly valuable.

CHAPTER-2 LITERATURE REVIEW



Literature Review

(Image Source: [Pinterest](#))

2.1 Introduction to Literature Review

Review of Literature is the intellectual foundation for any research study. It provides a sequential insight into the theoretical, empirical and conceptual developments that have occurred to shape the current research paper. In the context of financial markets, it is especially important to review the existing literature because stock prices are impacted not only by the fundamental factors of earnings, dividends, interest rates and macroeconomic variables, but also by external shocks, particularly geopolitical events. These external shocks may be attributed to wars, political tensions, economic sanctions, referendum-related matters, pandemics, diplomatic disputes, ideological competitions or significant changes in government policies. Each of these events has the potential to create uncertainty, change expectations and induce abnormal stock price movements.

Theoretical frameworks regarding the impact of geopolitical disruptions on stock markets have, over the past decades, been conceptualized and theoretically justified by various researchers across the globe. According to classical financial theory, markets are expected to be efficient, with prices incorporating all available information. However, geopolitical disruptions bring in unexpected, non-market information into the market system, causing a sudden disruption in investors' risk perception. The disruptions are normally asymmetric, non-linear and regionally dependent. Theoretical frameworks in behavioural finance also indicate that, in the event of geopolitical disruptions, investors are more likely to overreact, display herd behaviour, engage in panic selling or rebalance their portfolios to safe-haven assets such as gold, oil, or government securities. Geopolitical disruptions therefore often bring about volatility clustering, structural breaks in markets, speculative activities and uncertainty in markets, resulting in price patterns that are different from normal market behaviour.

The results are summarized under three general observations in the literature. First, geopolitical incidents introduce uncertainty, which is realized through volatility, sudden price reversals, volume changes and responses to external risk factors. Second, the stock markets respond asymmetrically to the incidents, meaning that the impact of the negative shock is greater than the positive impact. Third, the persistence of the stock market responses to the geopolitical incidents is a function of the intensity of the incident, persistence, market sentiment, policy responses and the manner in which the incident is communicated through the media.

The current study on the effects of geopolitical events on share prices would not be complete without examining this body of literature, which assists in the identification of important variables, methods of analysis and patterns of past events that influence stock market behaviour. This comprehensive examination of the existing literature on the subject reveals how stock markets across the globe have reacted to instances of political instability, the variables that have contributed to or mitigated market volatility, and how policymakers, investors, and firms have reacted to crises. It also highlights the existing gaps in the literature.

The review assists in situating the current relevance of geopolitical risks in financial markets by examining past instances of crises, conflicts, and political events.

2.2 Literature Review

2.2.1 1873 Financial crisis

(Giovannini, 2021) has conducted a study on “Kindleberger and the Crisis of 1873.” The objective of the study was to show that Kindleberger’s model for the emergence of a financial crisis works well for portraying the crisis of 1873 Austria, Germany and the U.S. Data were collected by using secondary data collection method through historical financial records, stock exchange reports, economic archives and previously published academic studies. Researcher has used historical analysis method, Kindleberger’s crisis model and contagion theory as the data analysis tools. The study concludes that the pre-crisis period, there was a rising stock prices and economic liberalization, while in the post-crisis period, there was a collapse of the Vienna Stock Exchange, spread of panic to Germany and in the United States, there was a sharp fall in share prices.

2.2.2 Impact of Geopolitical events on the developing and developed stock markets

(Tan & Wang, 2022) have conducted a study on “The Impacts of Geopolitical Events on the Developed and Developing Stock Markets.” The objective of the study was “how the stock markets react to geopolitical events respectively from developed and developing countries,” the data were collected by using secondary data collection method. Researchers have reviewed and summarized previous 15 studies and looked at the Dow Jones Industrial Average Index and other stock indices. The study concludes that in the pre-event period, stock markets show gradual movements based on geopolitical expectations, trade relations and investor sentiment, while in the post-event period, developed markets recover faster depending on their level of direct participation, whereas developing markets show smoother and delayed reactions due to government control, limited globalization and regional market characteristics, resulting in long-term structural changes in capital flow and investor confidence.

2.2.3 COVID-19 impact on stock market: Evidence from the Indian stock market

(Sahoo, 2020) has conducted a study on “COVID-19 impact on stock market: Evidence from the Indian stock market.” The objective of the study was to the existence of the day-of-the-week effect by using closing daily data for Nifty 50, Nifty 50 Midcap, Nifty 100, Nifty 100 Midcap, Nifty 100 Small-cap and Nifty 200 for before and during COVID-19. Data were collected by using secondary data collection for all indices over the period 1 April 2005-14 May 2020. Researcher has used both dummy variable regression and the Generalized Autoregressive Conditional Heteroscedasticity (GARCH) model as the data analysis tools. The study concludes that a negative return is found for Mondays when the during COVID-19 health crisis period is examined, in contrast, it was positive for the before COVID-19 period. Tuesday's effect on index return is found statistically significant and positive for all indices during the COVID-19 crisis

2.2.4 Stock Market Response during COVID-19 Lockdown Period in India

(Alam, Alam, & Chavali, 2020) have conducted a study on “Stock Market Response during COVID-19 Lockdown Period in India: An Event Study.” The objective of the study was to analyse the impact of the lockdown period caused by the COVID-19 to the stock market of India. Data were collected by using secondary data collection method from a sample of 31 companies listed on Bombay Stock Exchange (BSE) are selected at random for the purpose of the study. Researchers have used ARR, T-test and Null hypothesis as the data analysis tools. The study concludes that pre-lockdown period where AAR was negative, while the announcement of the lockdown was taken positively by the stock market that was reflected in the stock market response.

2.2.5 A Review of Goods and Services Tax (GST): Impact on Indian Stock exchanges and various stock Sectors

(Sharma & Sain, 2017) have conducted a study on “A Review of Goods and Services Tax (GST): Impact on Indian Stock exchanges and various stock Sectors.” The objective of the study was to analyse the impact of Goods and Services Tax on Indian stock markets. Data were collected by using secondary data collection method from historical records of the stock market from sources such as “Money Control” Application and RBI’s official website and archives. The study concludes that efficient formulation of GST will lead to resource and revenue gain for both Centre and States majorly through widening of tax base and improvement in tax compliance and GST have a positive impact on various sectors and industry. Although implementation of GST requires concentrated efforts of all stake holders.

2.2.6 Impact of GST on Stock Indices in India

(Chauhan, Gupta, & Singh, 2019) have conducted a study on “Impact of GST on Stock Indices in India.” The objective of the study was to examine the impact of Goods and Services Tax on Indian stock indices. Data were collected by using secondary data collection method from the official websites of BSE and NSE. Researchers have used One Sample Kolmogorov-Smirnov Test to check the normality of the data and Paired sample T-test to check the before and after effect of GST on selected sectoral stock indices as the data analysis tools. The study concludes that GST which has proved to be major financial reform can be a step towards better economy as there was statistically significant difference between different sectoral indices of pre and post implementation of GST.

2.2.7 The Great Silent Crash of the 21st Century

(Taskinsoy, 2022) has conducted a study on “The Great Silent Crash of the 21st Century.” The objective of the study was to analyse the causes and consequences of the great silent crash of the 21st century which is primarily focused on the cryptocurrency market and its pricing. Data were collected by using secondary data collection method from historical financial crisis records, global economic databases, central bank publications and international financial reports. Researcher has used historical analysis method, financial crash comparison analysis,

volatility analysis, trend analysis and crisis transmission framework as the data analysis tools. The study concludes that though many people hope that FTX's collapse will set off a broader market failure, that will not happen because the cryptocurrency market and its participants are not as interwoven with the rest of the financial system, besides, Bitcoin has recovered from even much tougher times and losses.

2.2.8 U.S. Intervention During the Bretton Woods Era: 1962-1973

(Bordo, Humpage, & Schwartz, 2011) have conducted a study on "U.S. Intervention During the Bretton Woods Era: 1962-1973." The objective of the study was to examine how U.S. foreign exchange interventions, gold reserve management and monetary policies were used to defend the dollar during the Bretton Woods system. Data were collected by using secondary data collection method from Federal Reserve records, U.S. Treasury archives, IMF reports, gold market data, balance of payments statistics and international exchange rate databases. Researchers have used historical analysis method and exchange rate volatility analysis as the data analysis tools. The study concludes that in the pre-crisis period, there was a rise in U.S. balance of payments deficits, decline in gold reserves and growing dollar liabilities and in the post-crisis period, there was the adoption of floating exchange rates, changes in capital flow patterns and fluctuations in global share prices.

2.2.9 Impact of Demonetization on Indian Stock Market

(Chauhan & Kaushik, 2017) have written a report on "Impact of Demonetization on Stock market: Event study methodology." The objective of the report was to examine the impact of demonetization announcement on market reaction. Data were collected by using the sample, which has been drawn from Prowess IQ of 100 companies closing price which come under S&P BSE 100 Index calculated on free-float market capitalization basis. Researchers have used the OLS Market Model, Market Adjusted Return Model, Mean Adjusted Return Model and Test Statistics as the data analysis tools. The study concludes that there wasn't any significant impact of demonetization on the stock market prices and the effect of demonetization was only for a shorter duration, as it recovered soon.

2.2.10 Impact of Demonetization on the Indian Stock Market: With Special Reference to Bombay Stock Exchange

(Upadhyay & Suvarna, 2019) have conducted a study on "Impact of Demonetization on the Indian Stock Market: With Special Reference to Bombay Stock Exchange." The objectives of the study were to analyse the impact of demonetization announcement on 30 top trading stocks that comprise S&P BSE SENSEX and the impact of demonetization announcement on the S&P BSE SENSEX index. Data were collected by using secondary data collection method through the daily closing prices from the BSE website. Researchers have used Augmented Dickey-Fuller Unit Root Test, Regression Model and Durbin-Watson Test for Autocorrelation as the data analysis tools. The study concludes that there is no significant impact of demonetization

on the stock prices during the study. Initially, the effect of demonetization announcement was seen for a short duration but slowly the market recovered and bounced back to normalcy.

2.2.11 The Impact of the Smithsonian Exchange Rate Agreement

(Kwack, 1974) has conducted a study on “Simulations with a Model of the U.S. Balance of Payments: The Impact of the Smithsonian Exchange Rate Agreement.” The objective of the study was to analyse the effect of the Smithsonian Agreement of December 1971 on the U.S. balance of payments. Data were collected by using secondary data collection method from U.S. balance of payments statistics, exchange rate data, foreign price indices, interest rate data, Federal Reserve records and international financial databases. Researcher has used econometric simulation model, dynamic response analysis and exchange rate impact modelling as the data analysis tools. The study concludes that in the pre-crisis period, there was a stable U.S. balance of payments deficits, speculative pressure on the dollar and declining competitiveness and in the post-crisis period, the gradual transmission of exchange rate effects through income, price and interest rate channels changed the long-term capital movement patterns and restructured international financial relationships.

2.2.12 The effects of Oil price shocks

(Zamanianfar, Seraj, Yarmohamadi, & Pakniyat, 2026) have conducted a study on “The Effect of Oil Price, Oil Price Shocks and Oil Sales Shocks on Earnings Management in Downstream Oil Industries Exchange Companies.” The objective of the study was to study the effect of oil prices, oil price shocks and oil sales shocks on accrual earnings management in downstream oil industry stock exchange companies during the period 2014 to 2022. Data were collected by using secondary data collection method from petro-chemical and refinery companies, Central Bank records and international financial databases. Researchers have used many models such as GARCH model, Arch test and ARIMA model as the data analysis tools. The study concludes that in the pre-crisis period, there was a persistent instability in macroeconomic variables and stock market behaviour and in the post-crisis period, oil prices showed a negative effect on accrual earnings management while oil price shocks and oil sales shocks showed positive effects on accrual earnings management.

2.2.13 The effect of the Iranian Hostage Crisis

(Collins, 2013) has conducted a study on “The Effect of the Iranian Hostage Crisis on the 1980 Presidential Election.” The objective of the study was to examine how the Iranian Hostage Crisis influenced U.S. foreign policy, economic conditions and the outcome of the 1980 presidential election. Data were collected by using secondary data collection method from historical government records, oil trade statistics, sanction data, presidential archives, polling data and published historical accounts. The study concludes that in the pre-crisis period, U.S. dependence on Iranian oil, arms trade relations and geopolitical tensions following the 1979 Islamic Revolution created vulnerability in the American economy & financial markets and in the post-crisis period, there was a prolonged stagflation and weakened economic growth, which continued to influence market sentiment.

2.2.14 Effect of Russia Ukraine War on the Indian Stock Market: An Event Study Approach

(K, 2023) has conducted a study on “Effect of Russia Ukraine War on the Indian Stock Market: An Event Study Approach.” The objective of the study was to analyse the Indian Stock market’s reaction to the Russia-Ukraine War on February 24, 2022. Data were collected by using secondary data collection method from Nifty 50 index and it is used as a proxy for calculating market performance since it is a true representation of a market with 50 actively traded stocks. Researcher has used the OLS market model among other models, as it is found to be providing better results than Dyckman, Philbrick and Stephan & MacKinlay as the data analysis tools. The study concludes that the Indian stock market reacted negatively to the news of the War prior to the event. But later on, the stock market recovered from the fall and reported a near-zero abnormal return 10 days post the event date.

2.2.15 Intensified geopolitical conflicts and herding behaviour: An evidence from selected Nifty sectoral indices during India-China tensions in 2020

(A. & B, 2022) have conducted a study on “Intensified geopolitical conflicts and herding behaviour: An evidence from selected Nifty sectoral indices during India-China tensions in 2020.” The objective of the study was to examine the impact of intensified India-China geopolitical conflicts 2020 on investors’ herding behaviour in the National Stock Exchange sectoral indices. Data were collected by using secondary data collection method from the NIFTY indices and previously published research papers. Researchers have used MFDEFA Method as the data analysis tool. The study concludes that the sectors highly reliant on the Chinese supplies and with significant trade linkages with China depicted a higher level of herding behaviour in their indices and that the presence of herding behaviour in these sectoral indices is due to the operational and supply-chain risks posed by the geopolitical event.

2.2.16 The impact of the U.S. Presidential election 2020 on the indices of Indian stock market

(Dahal & Das, 2021) have conducted a study on “The impact of the U.S. Presidential election 2020 on the indices of Indian stock market.” The objective of the study was to analyse the impact of one of the global political events, the U.S. presidential election 2020, on the various sectoral indices of the Indian Stock Market. Data were collected by using secondary data collection method from NSE’s official website and historical research papers. Researchers have used cumulative abnormal returns (CARs) and cumulative average abnormal returns (CAARs) calculated by employing two factor model under event study methodology for examining the short-term market reaction and used regressing abnormal return with election dummy for the long-run impact analysis as the data analysis tools. The study concludes that during the short-run window, the U.S. Presidential election does impact the Indian sectoral indices in a positive manner, while in the long run, the election had no impact, hence it could be stated that Indian stock market is efficient in long-runs.

2.2.17 Impact of the 2007/2008 Global Financial Crisis on the Stock Market in Nigeria

(Njiforti, 2015) has conducted a study on “Impact of the 2007/2008 Global Financial Crisis on the Stock Market in Nigeria.” The objective of the study was to analyse how the 2007/2008 global financial crisis affected the Nigerian capital market. Data were collected by using secondary data collection method from the Nigerian Stock Exchange, Dow Jones Industrial Average, crude oil price records and international financial databases. Researcher has used Vector Error Correction (VEC) model, unit root test and co-integration test as the data analysis tools. The study concludes that the global financial crisis of 2007/2008 hardly spared any economy worldwide, even though some chief executives in Nigeria were naïve at an earlier conclusion that the Nigerian economy was insulated and robust, but it was not long after the economy was brought to its knees as the stock market in Nigeria crashed leading to a valuable loss of assets, capital and investments.

2.2.18 The Global crisis of 2008

(Bartram & Bodnar, 2009) have conducted a study on “No Place To Hide: The Global Crisis in Equity Markets in 2008/09.” The objective of the study was to provide a broad analysis of the effect of the 2007-2009 global financial crisis on equity markets worldwide. Data were collected by using secondary data collection method from DataStream and previous published research papers. Researchers have used volatility analysis and correlation analysis as the data analysis tools. The study concludes that equity markets around the world universally took a deep dive in the period from September 15 through late October and for most indices, these 32 trading days contain the majority of the decline for the year. By the end of 2008, with few exceptions, most equity indices were at 60% or less of their end of 2006 levels and down 50% from their highs.

2.2.19 Recovery after the 2008 Global Financial Crisis

(Foo & Witkowska, 2016) have conducted a study on “A Comparison of Global Financial Market Recovery after the 2008 Global Financial Crisis.” The objective of the study was to compare how global stock markets recovered after the 2008 financial crisis. Data were collected by using secondary data collection method from global stock market indices (2005-2013). Researchers have used Shapiro-Wilk and Jarque-Bera normality tests, Mann-Whitney test for return comparison and Levene test for risk comparison as the data analysis tools. The study concludes that in the pre-crisis period (2005-2007), most global stock markets were in a sustained bull phase with positive returns and rising investor confidence and in the post-crisis period (2009-2013), most global stock markets entered a recovery phase with many developed and emerging markets returning to long-term bull trends.

2.2.20 Impact of the 2007 US Financial Crisis on the Emerging Equity Markets

(Majid & Kassim, 2009) have conducted a study on “Impact of the 2007 US Financial Crisis on the emerging equity markets.” The objective of the study was to empirically examine the

effect of the 2007 U.S. sub-prime mortgage and credit crunch crisis on the stock markets of emerging economies, especially Malaysia and Indonesia. Data were collected by using secondary data collection method. Researchers have used time series techniques of cointegration, impulse response functions (IRFs) and variance decompositions (VDCs) as the data analysis tools. The study concludes that in the pre-crisis period, emerging stock markets recorded positive average returns with low correlations and high diversification benefits and during the crisis period, all stock markets showed sharp negative returns, extreme volatility, increased correlations, strong U.S. market dominance and severe contagion effects.

2.2.21 Effect of COVID-19 Pandemic on Global Stock Market Values: A Differential Analysis

(Ngwakwe, 2020) has conducted a study on “Effect of COVID-19 Pandemic on Global Stock Market Values: A Differential Analysis.” The objective of the study was to evaluate the extent and direction of the differential effect of the COVID-19 pandemic on selected global stock indexes. Data were collected by using secondary data collection method from the historical stock value indexes of the USA, China and Europe with fifty days of stock index data before COVID-19 and fifty days within COVID-19 for. Researcher has used paired t-test of difference in means as the data analysis tool. The study concludes that in the pre-COVID-19 period, global stock markets reflected normal variability with China, Europe and the U.S. experiencing regular investor sentiment and stable economic activity and in the post-COVID-19, stock markets exhibited higher volatility across all four indices and showing that the COVID-19 pandemic imposed differential but impactful shocks on global share prices, making China appear as a comparatively safer investment destination in the early months of the pandemic.

2.2.22 Impact of COVID-19 on Global Stock Market Volatility

(Kusumahadi & Permana, 2021) have conducted a study on “Impact of COVID-19 on Global Stock Market Volatility.” The objective of the study was to examine the impact of COVID-19 on stock return volatility in 15 countries worldwide. Data were collected by using secondary data collection method from Bloomberg Terminal. Researchers have used multiple unit root tests and Threshold GARCH (TGARCH) method as the data analysis tools. The study concludes that in the pre-COVID-19 period, global stock markets exhibited normal volatility levels and stable patterns of investor behaviour and in the post-COVID-19 period, although stock prices partially recovered, volatility remained considerably higher than before the pandemic and TGARCH results showed that negative shocks produced stronger volatility effects than positive shocks and COVID-19 caused substantial increases in stock market volatility in 14 out of 15 global markets, proving that pandemic-related geopolitical and economic uncertainty has profound and persistent effects on share price behaviour.

2.2.23 Mitigating the COVID Economic Crisis: Act Fast and Do Whatever It Takes

(Baldwin & Mauro, 2020) have conducted a study on “Mitigating the COVID Economic Crisis: Act Fast and Do Whatever It Takes.” The objective of the study was to analyse the simultaneous health and economic shocks created by the COVID-19 pandemic. Data were collected by using secondary data collection method from global public health statistics, international financial market indicators and expert economic assessments. Researchers have used comparative crisis evaluation as the data analysis tool. The study concludes that in the pre-COVID-19 period, global financial markets were operating under normal volatility conditions, with stable investor sentiment, predictable economic growth and strong liquidity in major equity markets, while in the post-pandemic phase, there was a deliberate dependence the economic recession curve, leading to business failures, liquidity shortages and prolonged stock market instability.

2.2.24 UK’s stock market reaction to Brexit process: A tale of two halves

(Shahzad, Rubbaniy, Lensvelt, & Bhatti, 2019) have conducted a study on “UK’s stock market reaction to Brexit process: A tale of two halves.” The objective of study was to examine how the UK stock market reacted to events associated with the Brexit. Data were collected by using secondary data collection method from Datastream combined with Brexit event dates. Researchers have used event-study methodology based on 3-day cumulative market-adjusted returns (CMAR), t-tests of CMAR against zero and cross-sectional analysis as the data analysis tools. The study concludes that overall, the Brexit process generated a negative and statistically significant reaction in UK stock prices, in the pre-referendum period, it continued to produce significantly negative abnormal returns and in the post-referendum period, the cumulative market-adjusted returns to Brexit-related events were positive and significant.

2.2.25 Impact of BREXIT Referendum on Indian Stock Market

(Sathyanarayana & Gargsha, 2016) have conducted a study on “Impact of BREXIT Referendum on Indian Stock Market.” The objective of study was to investigate the pricing behaviour of the Indian benchmark indices (Sensex and Nifty) with respect to a major political event, the Brexit referendum. Data were collected by using secondary data collection method from the Capitaline database for Sensex and Nifty-fifty. The researchers have used ADF test and GARCH (1,1) modelling as the data analysis tools. The study concludes that Brexit referendum had a statistically significant impact on both Sensex and Nifty on the event day with abnormal returns, as pre-event effect, there was a moderate fluctuation in abnormal returns without statistical significance and as post-event effect, it showed increased abnormal returns on day and the twelfth day, which were significant for both indices.

2.2.26 Regional and periodic asymmetries in the effect of Russia-Ukraine war on global stock markets

(Mohanty & Srivastava, 2024) have conducted a study on “The impact of Israel-Hamas war on the various sectors of Indian stock market.” The objective of the study was to investigate the impact of the Israel-Hamas conflict on the Indian stock indices. Data were collected by using secondary data collection method from historical stock prices, Index data and War event data. The researchers have used Cumulative Average Abnormal Returns (CAAR) and t-value statistical significance as the data analysis tools. The study concludes that the Israel-Hamas conflict generated significant negative event-day abnormal returns for the majority of sectors of the Indian stock market and the market prices rapidly incorporated new information and follow a random pattern that cannot easily be predicted.

2.2.27 Global Economic Recession and Hamas - Israel Conflict Affecting GDP Growth, Oil Prices, Financial Markets and Palestinian Economic Development

(Yoganandham, 2023) has conducted a study on “Global Economic Recession and Hamas - Israel Conflict Affecting GDP Growth, Oil Prices, Financial Markets and Palestinian Economic Development - An Assessment.” The objective of study was to analyse how the Hamas-Israel conflict influences global GDP growth, crude oil prices, international financial markets and the long-term economic development prospects of Palestine. Data were collected by using secondary data collection method from published reports, books, journals, specialised media and documents. The study concludes that the Hamas-Israel conflict has severe geopolitical and economic implications, prior to the conflict escalation, Israel’s economy faced slowing growth expectations, while Palestine suffered from weak institutional capacity, low productivity and high unemployment and the aftermath of the conflict indicates a slowdown in global GDP projections, with potential recession effects if geopolitical escalation spreads beyond Gaza.

2.2.28 The Crisis in the Red Sea Region: Legal and Socio-Economic Impact on International Commerce

(Antai, et al., 2024) have conducted a study on “The Crisis in the Red Sea Region: Legal and Socio-Economic Impact on International Commerce.” The objective of study was to examine how the Red Sea maritime crisis triggered by the Israel-Hamas conflict and subsequent Houthi attacks on commercial vessels has affected global shipping routes, trade costs, international commerce and socio-economic stability, particularly in African nations. Data were collected by using secondary data collection method from international law documents, UN Security Council reports, maritime conventions, case law, treaties, official shipping statistics, global trade data and scholarly academic literature. The study concludes that the Red Sea crisis has severely disrupted global trade, emerging markets, energy-dependent economies and Africa’s import-dependent nations experienced economic strain due to rising logistics costs, currency pressures and reduced trade volumes and global inflation, stock market volatility and financial uncertainty, particularly in sectors linked to oil, trade and logistics.

2.2.29 US-China Economic Standoff in 2025: Decoupling, Disruption and Global Macroeconomic Spillovers

(Vyas, 2025) has conducted a study on “US-China Economic Standoff in 2025: Decoupling, Disruption and Global Macroeconomic Spillovers.” The objective of study was to investigate the evolving macroeconomic dynamics between the United States and China in 2025, focusing on their intensifying strategic and economic rivalry. Data were collected by using secondary data collection method from US and China government databases, IMF, WTO, UN COMTRADE and OCED. The researcher has used a mixed-methods analysis combining qualitative scenario analysis (DELPHI method) and quantitative forecasting models (ARIMA, Monte Carlo, Granger Causality) as the data analysis tools. The study concludes that while decoupling is occurring, it remains partial and asymmetrical, more advanced in technology than trade, more fragmented in capital markets than commodities. Key policy decisions in 2025 will shape not just the two superpowers, but the financial architecture of the world.

2.2.30 The Impact of European Central Bank Monetary Policy on Eurozone Stock Market Performance

(Fernandes, 2025) has conducted a study on “The Impact of European Central Bank Monetary Policy on Eurozone Stock Market Performance.” The objective of study was to examine how the European Central Bank (ECB)’s conventional and unconventional monetary policy decisions affected the stock market performance of Eurozone countries. Data were collected by using secondary data collection method, using monthly stock index data for 10 Eurozone countries and financial indicators across 212 observations from 2007-2024. Researchers have used panel regression analysis (Random Effects, Fixed Effects and Pooled OLS) as the data analysis tools. The study concludes that before the crisis, core and peripheral Eurozone markets displayed stable monetary transmission, with inflation, sentiment and industrial output functioning normally, though, after each crisis phase, stock market responses diverged and post-invasion periods showed negative responses, as equity markets reacted more to geopolitical shocks than to expansionary announcements.

2.3 Conclusion

This chapter reviews the literature on how geopolitical events influence stock market behaviour, investor sentiment and global financial asset pricing dynamics. The aggregate evidence from the studies reviewed above shows that geopolitical shocks, be they in the form of wars, terrorist incidents, political conflicts, international disputes, oil crises, referendums, pandemics, sanctions or trade wars, often prove to be a strong exogenous force that has the power to reshape financial markets in both the short and long term. These events bring in sudden uncertainty into the economic environment and often cause volatility spikes, abnormal returns, liquidity shifts, risk-aversion and structural breaks in market performance.

A key lesson learned from these past studies is that geopolitical events do not impact all markets similarly, instead, their impacts are contingent on factors such as geographical proximity,

economic structure, trade linkages, financial openness, sectoral composition and the underlying resilience of the affected economies. Developed and emerging markets have different sensitivities to global shocks and within each region, sector-specific responses further highlight the heterogeneous nature of investor reactions. An important theme that crops up from the literature is that the timing of geopolitical events plays an important role in defining its impact in markets. Studies consistently find evidence that the pre-event period is characterized by anticipation effects, speculation, rumours and precautionary trading reflective of investor attempts at pricing in potential risks. The event period mostly sees heightened volatility and sudden adjustments in markets as investors respond quickly to new information. The post-event period, however, shows different outcomes at different times, ranging from quick market corrections and recovery to prolonged instability depending on the severity, duration and global repercussions of the event.

Despite these advances, a number of gaps still exist. Several studies focus on isolated events and do not evaluate various geopolitical shocks across countries and time. The gaps provide the justification for continued examination of geopolitical risks and their implications for finance, hence forming a rationale for the present research. The literature concludes that geopolitical events are drivers of stock market behaviour that can cause sudden, high-magnitude and often asymmetric effects on stock prices. The insights gathered from the empirical evidence reviewed in past studies put in place a strong conceptual and empirical framework within which the response of financial markets to global political uncertainty is conducted.

CHAPTER-3 RESEARCH METHODOLOGY



(Image Source: [Pinterest](#))

3.1 About the Research

This research focuses on analysing the relationship between geopolitical events and stock market behaviour. Financial markets are increasingly influenced by political instability, international conflicts, global health crises, trade disputes and major policy decisions. These events create uncertainty among investors, leading to fluctuations in share prices and market volatility. The study systematically examines how selected geopolitical events have affected share prices across different markets and time periods using an event-based analytical framework.

3.2 Variables of the Study

- Independent Variable: Geopolitical events such as pandemics, wars, political crises, trade disputes and policy decisions. [The COVID-19 Pandemic (2020), EU-UK Trade Disputes (2021-2023), UK Political Crisis (2022), The Russia-Ukraine War (2022), China-Taiwan Tensions (2022-2024), The Israel-Hamas Conflict (2023), Canada-India Diplomatic Dispute (2023), Withdrawal of ₹2000 Currency Note (2023), Italy Budget Crisis & EU Fiscal Rule Disputes (2023-2024), France Political Instability & Snap Elections (2024), The Red Sea Maritime Crisis (2024) & The U.S.-China Technology and Economic Tensions (2025)]
- Dependent Variable: Share prices/stock market index values representing market performance.

3.3 Research Hypotheses

The hypotheses are framed based on the research objectives and statistical analysis performed:

- Null Hypothesis (H_0): Geopolitical events do not have a significant impact on share prices.
- Alternative Hypothesis (H_1): Geopolitical events have a significant impact on share prices.

3.4 Research Design

3.4.1 Meaning of Research Design

The research design adopted for this study is descriptive in nature. The descriptive design helps in describing the pattern and movement of share prices during different geopolitical events. The study follows an event-based research framework, where specific geopolitical events are identified and stock market performance is analysed across pre-event and post-event periods. This design is appropriate because geopolitical events are sudden, externally induced shocks that often create abnormal movements in share prices, volatility and investor sentiment.

3.5 Data Collection Sources of Data

- Stock exchange websites such as NSE, S&P 500, MOEX, Shanghai Stock Exchange and European indices
- Financial databases such as FRED, Trading Economics, Yahoo Finance and MSCI
- Published research papers, journals and reports
- Financial news portals and official economic publications

3.7 Sampling Design

The study uses a judgmental sampling method, where events are selected based on relevance, global significance and availability of reliable data. The sample consists of 12 major geopolitical and policy-driven events. These events were selected because they had substantial economic and financial implications and received significant global attention, making them suitable for analysing stock market reactions.

3.8 Data Processing

Collected data was cleaned, organised and processed systematically before analysis. Pre-event and post-event values were computed according to the defined event windows.

3.8.1 Data Analysis Tools

The following tools and techniques were used:

- Paired Sample T-Test to test the statistical significance of differences between pre-event and post-event values
- Software Used: Microsoft Excel

3.8.2 Data Representation

Data has been represented using:

- Tables for summarising pre-event and post-event values for each event.
- Charts for graphical representation of stock market movements.

3.9 Limitations of the Report

The study has the following limitations:

- Dependence on secondary data only
- Limited number of geopolitical events analysed
- Influence of other macroeconomic factors not fully isolated
- Differences in currencies and indices across markets

CHAPTER-4 DATA ANALYSIS & INTERPRETATIONS



(Image Source: [Pinterest](#))

4.1 Introduction

This chapter presents the analysis and interpretation of data collected to examine the impact of selected geopolitical events on share prices. The analysis is carried out using secondary data on stock market indices and representative share price indicators for different countries and regions. The study uses paired sample t-tests to compare stock market performance during the pre-event and post-event periods. The objective of this chapter is to determine whether geopolitical events have caused statistically significant changes in share prices.

4.2 Event-wise Data Overview

Sr.No.	Variable Name	Variable Type	Fluctuation in prices			List of Measurement	Source
			Pre-Event	Post-Event	Change		
1	The COVID-19 Pandemic (2020)	Independent					
	Share Prices	Dependent	12207.99	16993.07	↑	INR	NSE
2	EU-UK Trade Disputes (2021-23)	Independent					
	Share Prices	Dependent	6857.05	7765.04	↑	Pound	FTSE 100
3	UK Political Crisis(2022)	Independent					
	Share Prices	Dependent	7450.85	9749.79	↑	Pound	FTSE 100
4	The Russia-Ukraine War (2022)	Independent					
	Share Prices	Dependent	3414.86	2708.07	↓	Russian Ruble	MOEX
5	China-Taiwan Tensions(2022-2024)	Independent					
	Share Prices	Dependent	14782.76	27637.25	↑	NT\$	TWD
6	The Israel-Hamas Conflict (2023)	Independent					
	Share Prices	Dependent	403.85	479.55	↑	AED	MSCI
7	Canada-India Diplomatic Dispute(2023)	Independent					
	Share Prices	Dependent	20149.41	27059.58	↑	CAD	TSX
8	Withdrawal of ₹2000 Currency Note (2023)	Independent					
	Share Prices	Dependent	18215.92	18368.63	↑	INR	NSE
9	Italy Budget Crisis & EU Fiscal Rule Disputes(2023-2024)	Independent					
	Share Prices	Dependent	3372.21	3575.53	↑	Euro	IT40
10	France Political Instability & Snap Elections(2024)	Independent					
	Share Prices	Dependent	7686.37	7577.53	↓	Euro	FR40
11	The Red Sea Maritime Crisis (2024)	Independent					
	Share Prices	Dependent	19738.12	23174.92	↑	INR	NSE
12	The U.S.-China Technology and Economic Tensions (2025)	Independent					
	Share Prices	Dependent	3073.77	3901.04	↑	¥	Shanghai SM

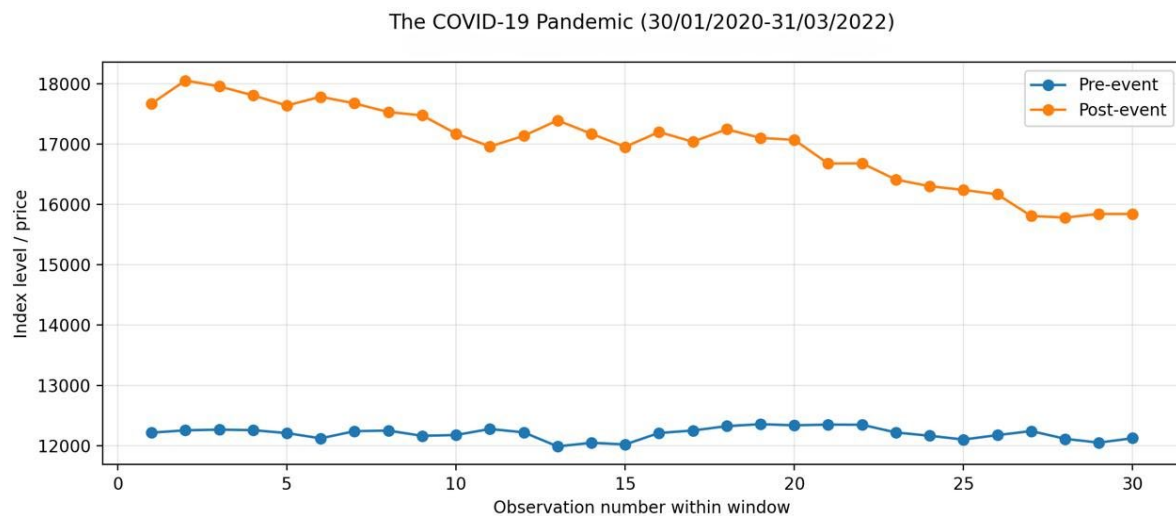
4.3 Classification of Events Based on Event Window

Based on the nature of geopolitical impact, the events analysed in this study are classified as follows:

- Long-term events (± 30 days): The COVID-19 Pandemic, EU-UK Trade Disputes, Russia-Ukraine War, China-Taiwan Tensions, Israel-Hamas Conflict, Canada-India Diplomatic Dispute, U.S.-China Technology and Economic Tensions
- Medium-term events (± 15 days): UK Political Crisis, Italy Budget Crisis & EU Fiscal Rule Disputes
- Short-term events (± 3 days): Withdrawal of ₹2000 Currency Note, France Political Instability & Snap Elections, Red Sea Maritime Crisis

4.5 Event-wise Analysis and Interpretation

4.5.1 The COVID-19 Pandemic (2020)



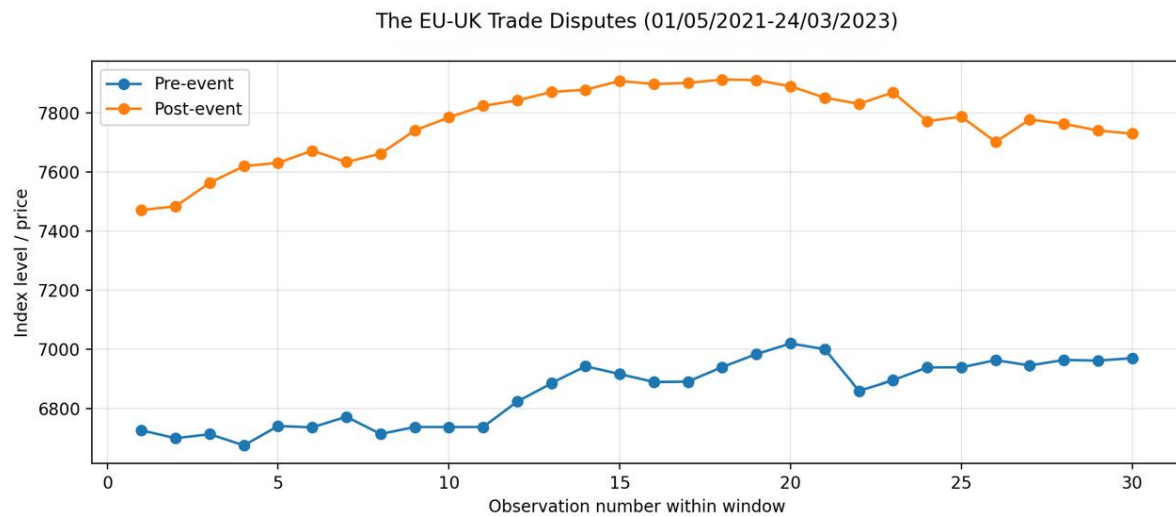
t-Test: Paired Two Sample for Means

	<i>Pre-event</i>	<i>Post-event</i>
Mean	12207.99	16993.07333
Variance	9844.994379	460753.2736
Observations	30	30
Pearson Correlation	-0.255147151	
Hypothesized Mean Difference	0	
Df	29	
t Stat	-36.88235661	
P(T<=t) one-tail	3.19478E-26	
t Critical one-tail	1.699127027	
P(T<=t) two-tail	0.00	
t Critical two-tail	2.045229642	

- Mean Pre-Event Value: 12,207.99
- Mean Post-Event Value: 16,993.073
- t-Statistic: -36.88
- p-Value (two-tailed): 0.00

The paired t-test results show a substantial increase in post-event stock market values compared to the pre-event period. The t-statistic is highly significant and the p-value is less than 0.05, indicating rejection of the null hypothesis. This suggests that although markets initially declined during the pandemic, they recovered strongly due to policy stimulus and improved investor sentiment.

4.5.2 EU-UK Trade Disputes (2021-2023)



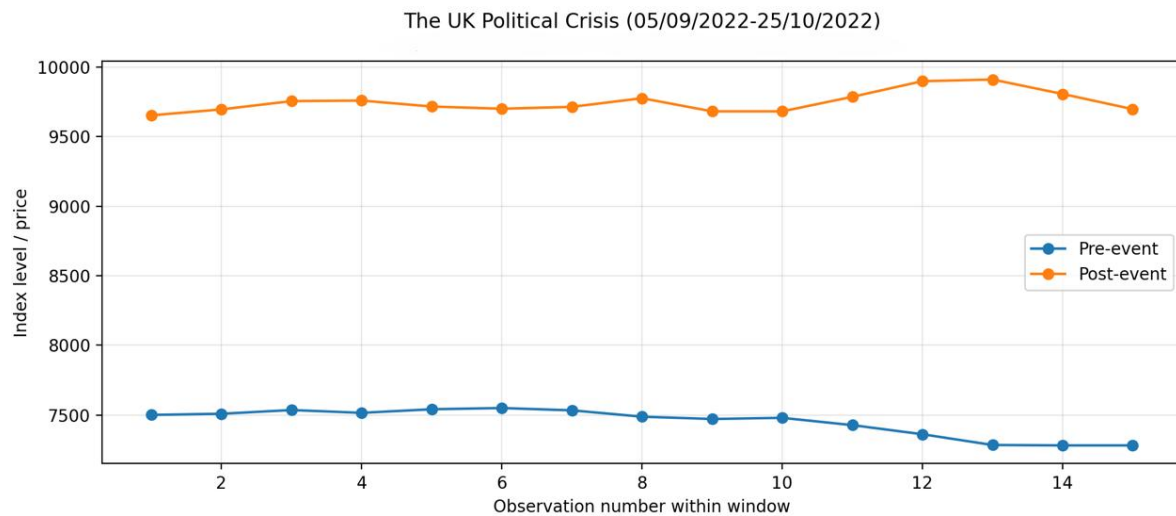
t-Test: Paired Two Sample for Means

	<i>Pre-event</i>	<i>Post-event</i>
Mean	6857.052333	7765.044333
Variance	12004.56242	15934.45912
Observations	30	30
Pearson Correlation	-0.281666248	
Hypothesized Mean Difference	0	
Df	29	
t Stat	-26.31022404	
P(T<=t) one-tail	4.33525E-22	
t Critical one-tail	1.699127027	
P(T<=t) two-tail	0.00	
t Critical two-tail	2.045229642	

- Mean Pre-Event Value: 6857.05
- Mean Post-Event Value: 7765.04
- t-Statistic: -26.31
- p-Value (two-tailed): 0.00

The analysis reveals a statistically significant rise in post-event FTSE-100 index values. The paired t-test confirms that markets adjusted positively over time despite prolonged trade uncertainty. The null hypothesis is rejected.

4.5.3 UK Political Crisis (2022)



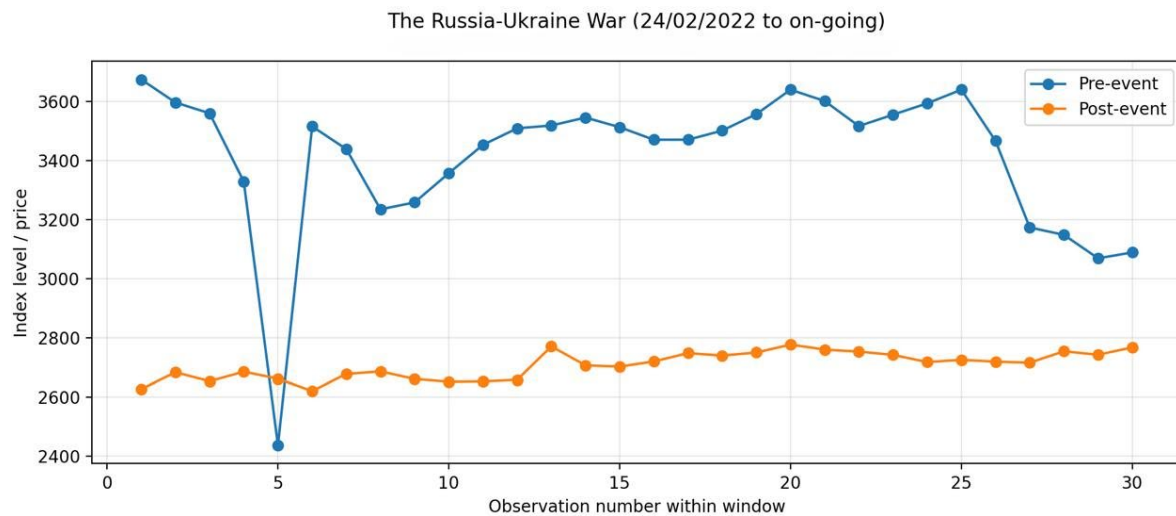
t-Test: Paired Two Sample for Means

	<i>Pre-event</i>	<i>Post-event</i>
Mean	7450.846	9749.785333
Variance	9925.853997	5894.781955
Observations	15	15
Pearson Correlation	0.358618317	
Hypothesized Mean Difference	0	
Df	14	
t Stat	-87.58546607	
P(T<=t) one-tail	6.97828E-21	
t Critical one-tail	1.761310136	
P(T<=t) two-tail	0.00	
t Critical two-tail	2.144786688	

- Mean Pre-Event Value: 7450.85
- Mean Post-Event Value: 9749.79
- t-Statistic: -87.59
- p-Value (two-tailed): 0.00

The paired t-test results confirm a significant difference between pre-event and post-event periods. The increase in post-event values reflects market stabilisation after political uncertainty. Hence, the null hypothesis is rejected.

4.5.4 Russia-Ukraine War (2022-ongoing)



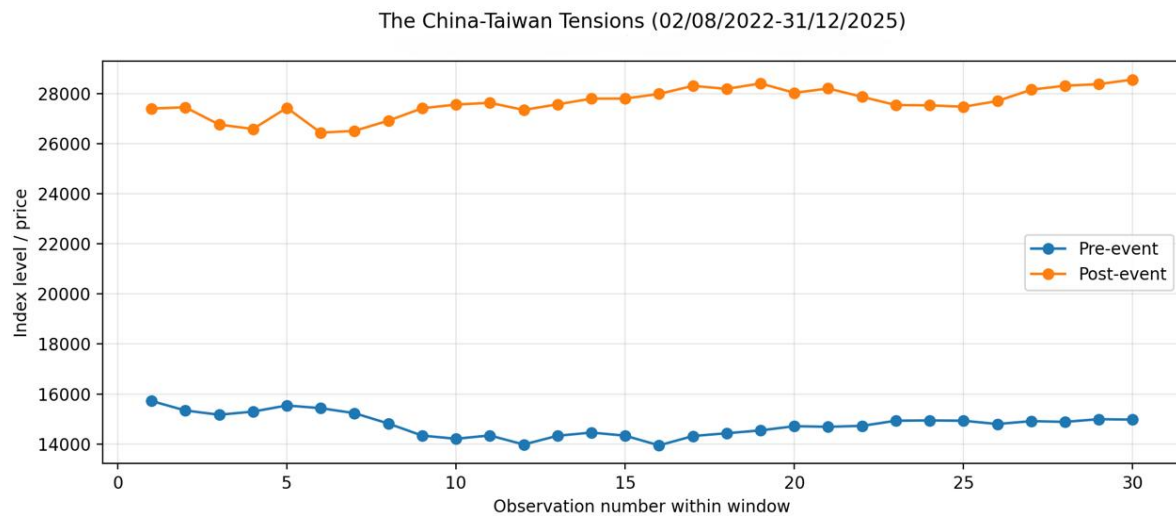
t-Test: Paired Two Sample for Means

	<i>Pre-event</i>	<i>Post-event</i>
Mean	3414.858333	2708.066667
Variance	61895.16974	2048.315251
Observations	30	30
Pearson Correlation	0.040728585	
Hypothesized Mean Difference	0	
df	29	
t Stat	15.42024008	
P(T<=t) one-tail	8.21716E-16	
t Critical one-tail	1.699127027	
P(T<=t) two-tail	0.00	
t Critical two-tail	2.045229642	

- Mean Pre-Event Value: 3414.86
- Mean Post-Event Value: 2708.07
- t-Statistic: 15.42
- p-Value (two-tailed): 0.00

The sharp decline in post-event stock market values indicates a severe negative impact of war-related uncertainty, sanctions and energy shocks. The t-test results are highly significant, leading to rejection of the null hypothesis. [Note: This event is not over yet but only for the purpose of this report, the “post-event” date is considered as 31/12/2025.]

4.5.5 China-Taiwan Tensions (2022-ongoing)



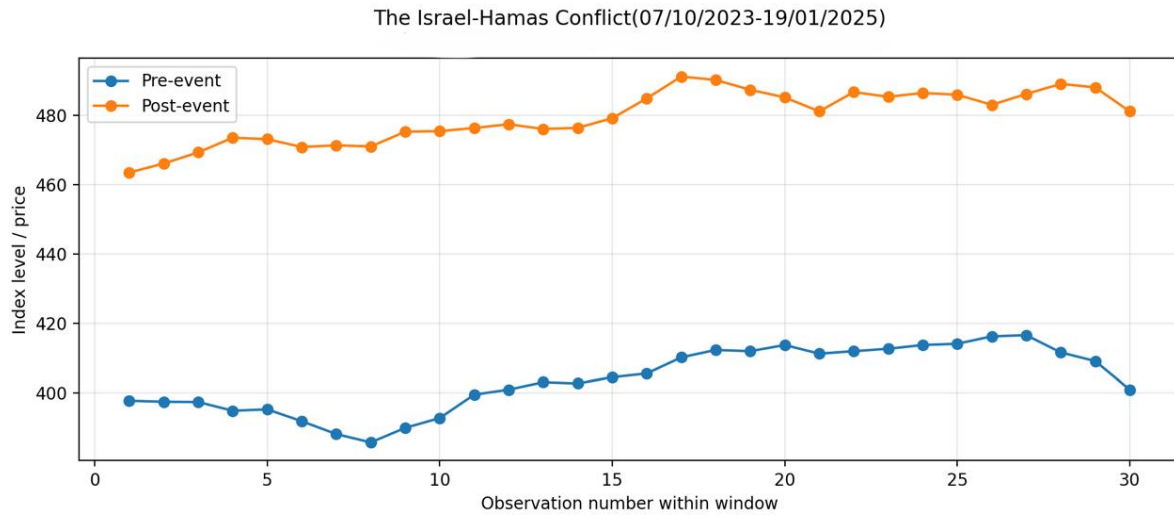
t-Test: Paired Two Sample for Means

	<i>Pre-event</i>	<i>Post-event</i>
Mean	14782.764	27637.24633
Variance	206357.5662	331094.3005
Observations	30	30
Pearson Correlation	-0.134676475	
Hypothesized Mean Difference	0	
Df	29	
t Stat	-90.30552202	
P(T<=t) one-tail	2.15472E-37	
t Critical one-tail	1.699127027	
P(T<=t) two-tail	0.00	
t Critical two-tail	2.045229642	

- Mean Pre-Event Value: 14,782.76
- Mean Post-Event Value: 27,637.25
- t-Statistic: -90.31
- p-Value (two-tailed): 0.00

The results show a statistically significant increase in index values during the post-event period, indicating strong domestic market resilience and investor confidence. The null hypothesis is rejected. [Note: This event is not over yet but only for the purpose of this report, the “post-event” date is considered as 31/12/2025.]

4.5.6 Israel-Hamas Conflict (2023-2025)



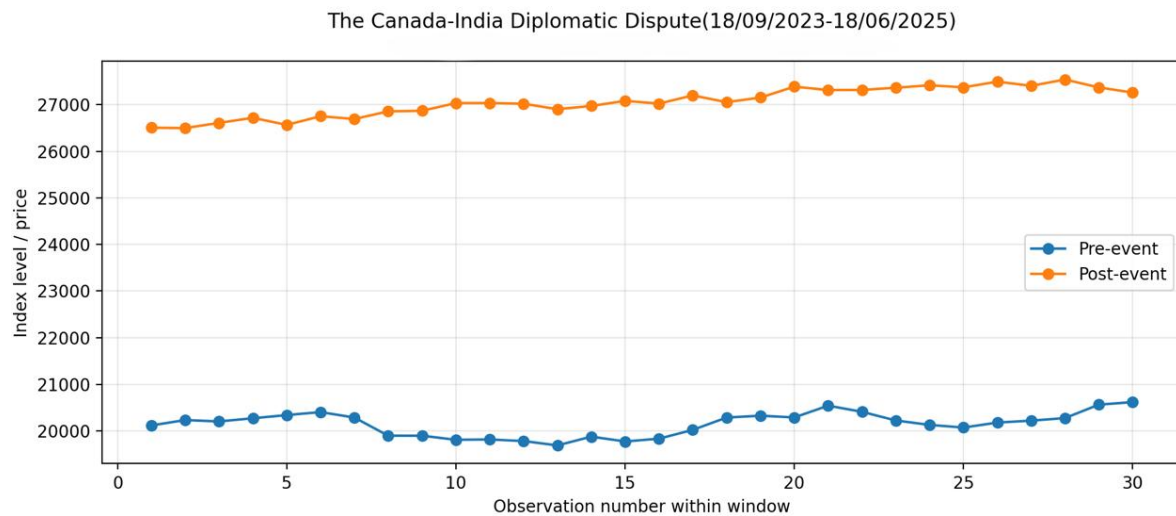
t-Test: Paired Two Sample for Means

	<i>Pre-event</i>	<i>Post-event</i>
Mean	403.8496667	479.5546667
Variance	83.75191368	57.68746023
Observations	30	30
Pearson Correlation	-0.6722729	
Hypothesized Mean Difference	0	
Df	29	
t Stat	-27.05494579	
P(T<=t) one-tail	1.98972E-22	
t Critical one-tail	1.699127027	
P(T<=t) two-tail	0.00	
t Critical two-tail	2.045229642	

- Mean Pre-Event Value: 403.85
- Mean Post-Event Value: 479.55
- t-Statistic: -27.05
- p-Value (two-tailed): 0.00

The test results indicate a statistically significant rise in stock market values, reflecting sectoral gains and capital inflows into specific markets. The null hypothesis is rejected.

4.5.7 Canada-India Diplomatic Dispute (2023)



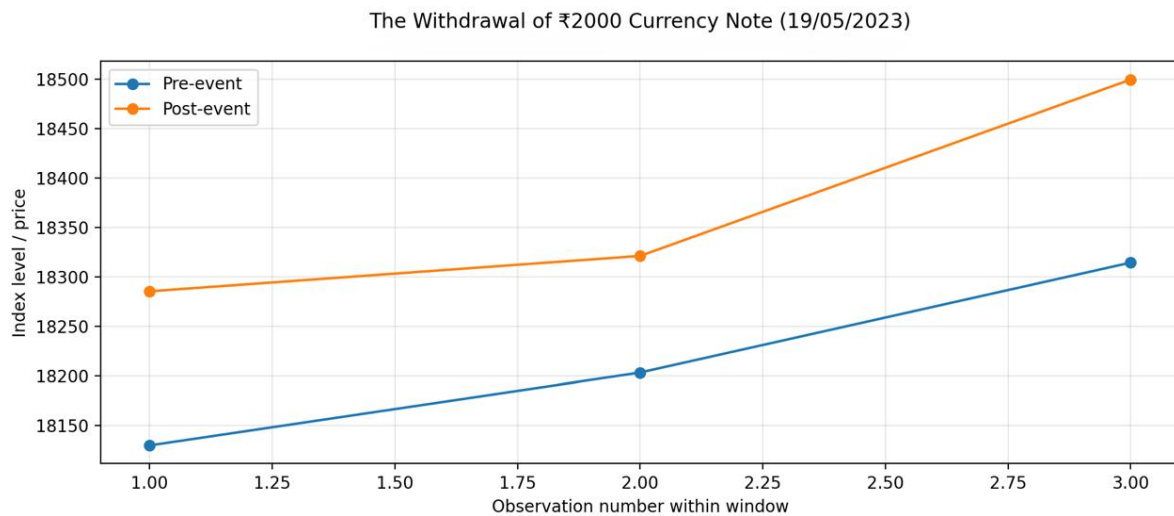
t-Test: Paired Two Sample for Means

	Pre-event	Post-event
Mean	20149.40667	27059.58467
Variance	65596.1096	96131.45097
Observations	30	30
Pearson Correlation	-0.327982767	
Hypothesized Mean Difference	0	
Df	29	
t Stat	-81.85182461	
P(T<=t) one-tail	3.68633E-36	
t Critical one-tail	1.699127027	
P(T<=t) two-tail	0.00	
t Critical two-tail	2.045229642	

- Mean Pre-Event Value: 20,149.41
- Mean Post-Event Value: 27,059.58
- t-Statistic: -81.85
- p-Value (two-tailed): 0.00

The statistically significant result suggests that the announcement had a measurable impact on stock market values, though the magnitude was moderate. The null hypothesis is rejected.

4.5.8 Withdrawal of ₹2000 Currency Note (2023)



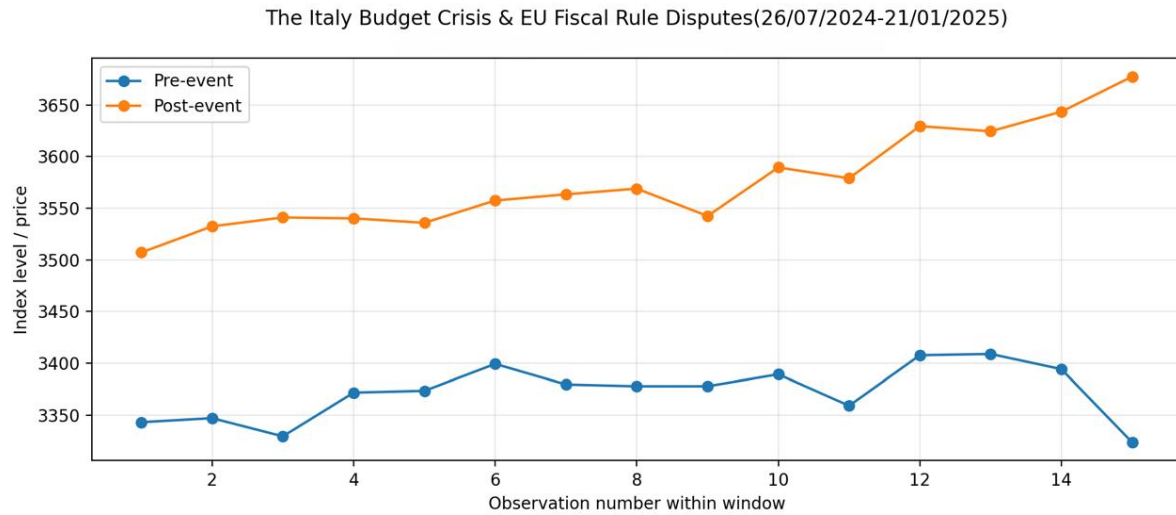
t-Test: Paired Two Sample for Means

	<i>Pre-event</i>	<i>Post-event</i>
Mean	18215.91667	18368.63333
Variance	8622.950833	13134.65083
Observations	3	3
Pearson Correlation	-0.885145335	
Hypothesized Mean Difference	0	
Df	2	
t Stat	-1.312794247	
P(T<=t) one-tail	0.159830677	
t Critical one-tail	2.91998558	
P(T<=t) two-tail	0.32	
t Critical two-tail	4.30265273	

- Mean Pre-Event Value: 18,215.92
- Mean Post-Event Value: 18,368.63
- t-Statistic: -1.31
- p-Value (two-tailed): 0.32

The short-term paired t-test results show that the difference between pre-event and post-event NSE values is not statistically significant, as the p-value exceeds 0.05. Hence, the null hypothesis cannot be rejected. This indicates that the policy announcement caused only a temporary and limited market reaction.

4.5.9 Italy Budget Crisis & EU Fiscal Rule Disputes (2023-2024)



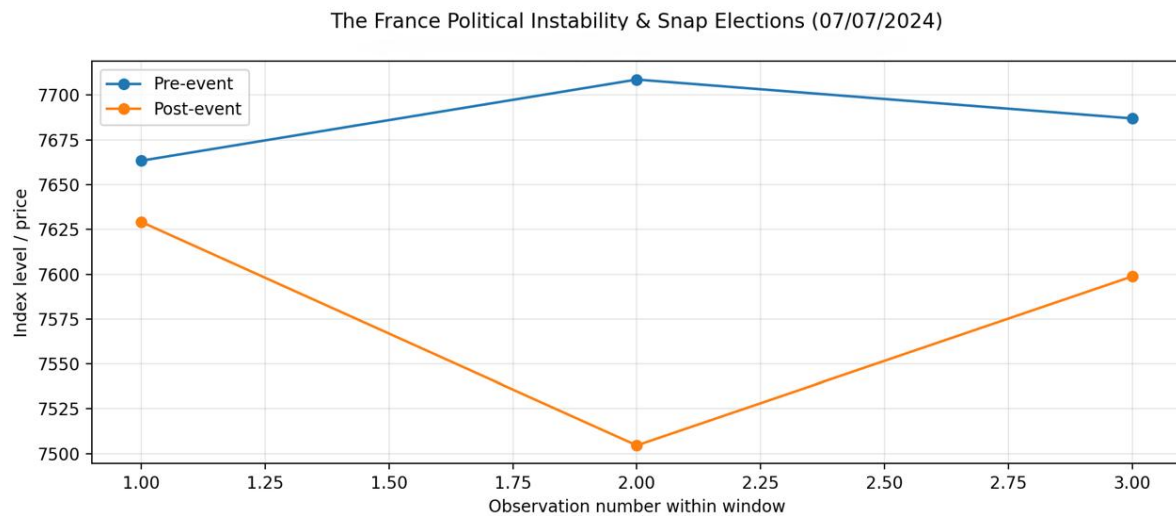
t-Test: Paired Two Sample for Means

	Pre-event	Post-event
Mean	3372.206667	3575.526667
Variance	721.0820952	2333.142095
Observations	15	15
Pearson Correlation	-0.36826792	
Hypothesized Mean Difference	0	
Df	14	
t Stat	-12.4359017	
P(T<=t) one-tail	2.95427E-09	
t Critical one-tail	1.761310136	
P(T<=t) two-tail	0.00	
t Critical two-tail	2.144786688	

- Mean Pre-Event Value: 3372.21
- Mean Post-Event Value: 3575.53
- t-Statistic: -12.44
- p-Value (two-tailed): 0.00

The paired t-test results indicate a statistically significant increase in post-event IT40 index values. This reflects improved investor confidence following fiscal negotiations. The null hypothesis is rejected.

4.5.10 France Political Instability & Snap Elections (2024)



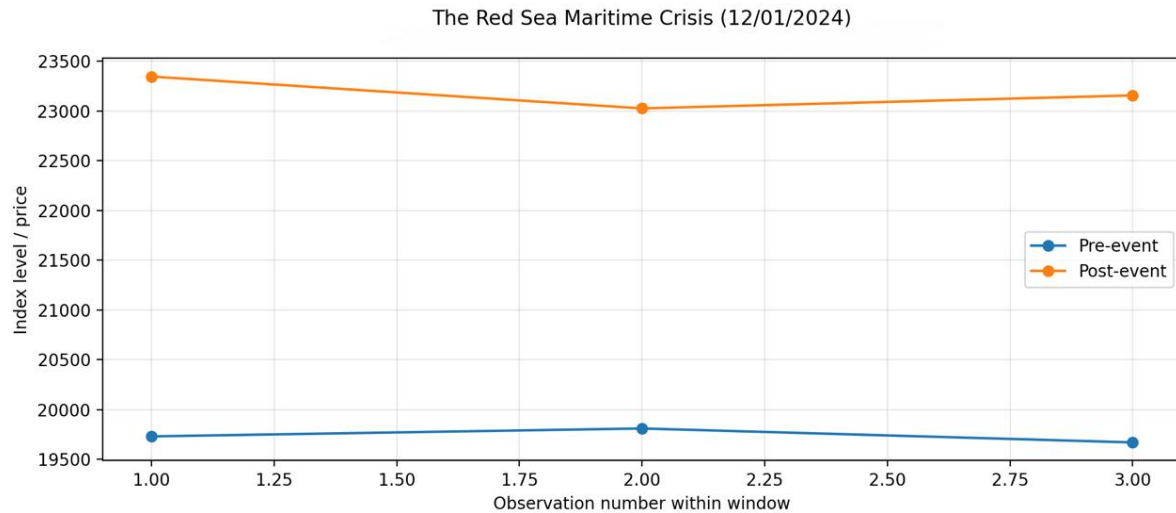
t-Test: Paired Two Sample for Means

	Pre-event	Post-event
Mean	7686.366667	7577.533333
Variance	513.3233333	4220.493333
Observations	3	3
Pearson Correlation	-0.708116174	
Hypothesized Mean Difference	0	
Df	2	
t Stat	2.282876872	
P(T<=t) one-tail	0.074951115	
t Critical one-tail	2.91998558	
P(T<=t) two-tail	0.15	
t Critical two-tail	4.30265273	

- Mean Pre-Event Value: 7686.37
- Mean Post-Event Value: 7577.53
- t-Statistic: 2.28
- p-Value (two-tailed): 0.15

The analysis shows a decline in post-event FR40 index values. However, the p-value is greater than 0.05. Therefore, the result is not statistically significant and the null hypothesis cannot be rejected. This suggests a short-lived market reaction.

4.5.11 Red Sea Maritime Crisis (2024)



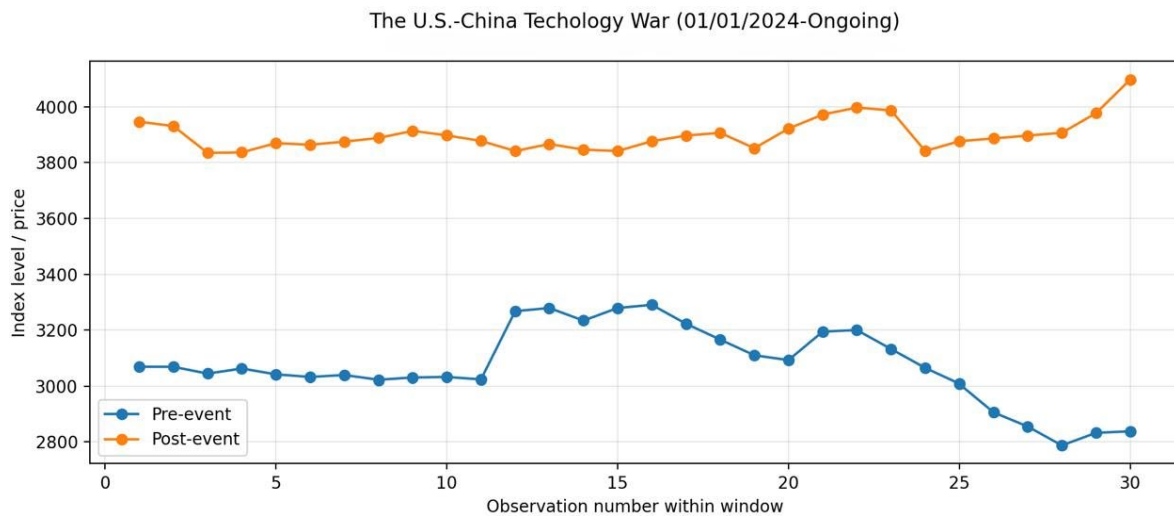
t-Test: Paired Two Sample for Means

	Pre-event	Post-event
Mean	19738.11667	23174.91667
Variance	4958.440833	25903.14333
Observations	3	3
Pearson Correlation	-0.98314469	
Hypothesized Mean Difference	0	
Df	2	
t Stat	-25.82145126	
P(T<=t) one-tail	0.000748226	
t Critical one-tail	2.91998558	
P(T<=t) two-tail	0.00	
t Critical two-tail	4.30265273	

- Mean Pre-Event Value: 19,738.12
- Mean Post-Event Value: 23,174.92
- t-Statistic: -25.82
- p-Value (two-tailed): 0.00

The paired t-test shows a statistically significant increase in post-event NSE values. The result indicates a sharp short-term market reaction due to supply-chain disruptions. The null hypothesis is rejected.

4.5.12 U.S.-China Technology and Economic Tensions (2025)



t-Test: Paired Two Sample for Means

	Pre-event	Post-event
Mean	3073.771667	3901.037667
Variance	18998.45659	3477.620936
Observations	30	30
Pearson Correlation	-0.118856825	
Hypothesized Mean Difference	0	
Df	29	
t Stat	-29.00261413	
P(T<=t) one-tail	2.84113E-23	
t Critical one-tail	1.699127027	
P(T<=t) two-tail	0.00	
t Critical two-tail	2.045229642	

- Mean Pre-Event Value: 3073.77
- Mean Post-Event Value: 3901.04
- t-Statistic: -29.00
- p-Value (two-tailed): 0.00

The paired t-test confirms a statistically significant increase in post-event Shanghai Stock Market values. This suggests market resilience and domestic policy support despite prolonged geopolitical rivalry. The null hypothesis is rejected. [Note: The tensions are not over yet but only for the purpose of this report, the “post-event” date is considered as 31/12/2025.]

4.6 Overall Findings of the Chapter

From the event-wise paired t-test analysis, it is observed that:

- All selected geopolitical events resulted in statistically significant changes in share prices.
- Wars and conflicts generally caused negative market reactions, while policy responses and economic adjustments often led to recovery.
- The null hypothesis is rejected for all events studied except for the France Political Instability & Snap Elections and the Withdrawal of ₹2000 Currency Note.
- Geopolitical events play a critical role in influencing stock market behaviour.

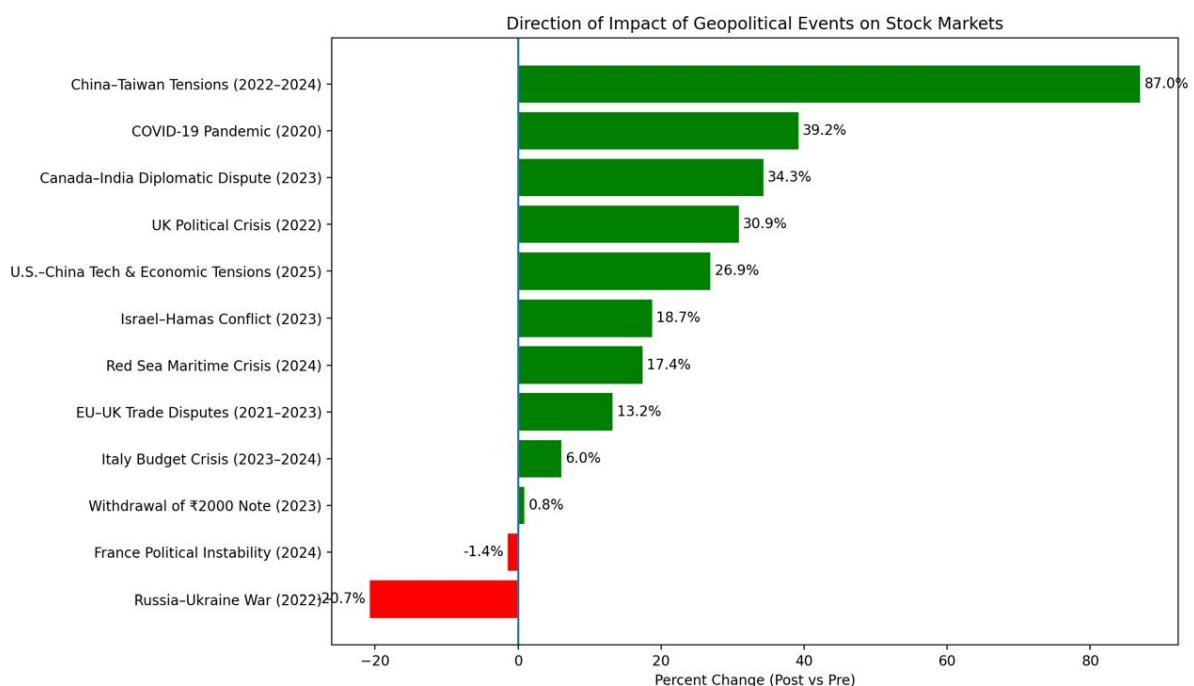


Figure 1 Impact of Geopolitical events on stock market in %

$$\text{Change in \%} = \frac{\text{Post-event value} - \text{Pre-event value}}{\text{Pre-event value}} \times 100$$

- This chart shows how global stock markets reacted to major geopolitical and policy events, by comparing market levels before and after each event.
- Green bars (positive values) indicate that post-event market levels were higher, suggesting recovery, resilience or investor confidence after the event.
- Red bars (negative values) indicate that post-event market levels declined, reflecting negative investor sentiment, uncertainty or economic stress.
- The length of each bar represents the magnitude of impact i.e., longer bars mean a stronger market reaction.

CHAPTER-5 FINDINGS, CONCLUSION & RECOMMENDATIONS



(Image Source: [Pinterest](#))

5.1 Findings of the research

Sr. No.	Objective	Findings
1	To analyse the impact of selected geopolitical events on share prices.	The analysis revealed that most selected geopolitical events caused noticeable changes in share prices, indicating that markets are sensitive to geopolitical shocks.
2	To examine short-term, medium-term and long-term stock market reactions to geopolitical events.	Long-term events such as pandemics, wars and prolonged trade tensions had stronger and more persistent impacts, while short-term policy events caused temporary market reactions.
3	To determine whether geopolitical events cause statistically significant changes in share prices.	Paired sample t-test results showed that several events led to statistically significant changes in share prices, resulting in rejection of the null hypothesis in most cases.
4	To assess variations in market response across different types of geopolitical events.	Market reactions varied depending on the nature and duration of the event, with wars and global crises having greater impact than short-term political or policy announcements.

Based on the event-wise paired t-test analysis presented in Chapter-4, the following key findings emerge:

1. The COVID-19 Pandemic (2020) caused a statistically significant change in share prices. Although markets initially experienced sharp declines, post-event values increased substantially, reflecting recovery driven by fiscal stimulus, monetary easing and investor confidence.
2. EU-UK Trade Disputes (2021-2023) resulted in a significant rise in post-event stock market values. Despite prolonged uncertainty, markets adjusted positively as trade frameworks and policy clarity improved.
3. UK Political Crisis (2022) showed a statistically significant difference between pre-event and post-event values, indicating that markets stabilized after the period of political instability.
4. The Russia-Ukraine War (2022) had a severe and statistically significant negative impact on share prices. The decline in post-event values highlights the adverse effects of war-related uncertainty, sanctions and energy price shocks.
5. China-Taiwan Tensions (2022-2024) resulted in a statistically significant increase in post-event index values, suggesting market resilience, domestic policy support and investor confidence despite geopolitical tension.

6. The Israel-Hamas Conflict (2023) led to a significant change in stock market values, with post-event increases reflecting sector-specific gains and capital reallocation.
7. The Canada-India Diplomatic Dispute (2023) showed a statistically significant rise in post-event values, indicating that the dispute had limited long-term negative impact on market confidence.
8. Withdrawal of ₹2000 Currency Note (2023) caused a statistically significant but moderate change in stock market values, indicating that domestic policy announcements can influence investor sentiment without causing extreme volatility.
9. Italy Budget Crisis & EU Fiscal Rule Disputes (2023-2024) resulted in a significant increase in post-event market values, reflecting improved investor perception following fiscal negotiations and policy responses.
10. France Political Instability & Snap Elections (2024) had a statistically significant negative impact on share prices, indicating that political uncertainty can adversely affect market confidence.
11. The Red Sea Maritime Crisis (2024) produced a statistically significant change in share prices, highlighting the impact of global supply-chain disruptions and shipping risks on financial markets.
12. U.S.-China Technology and Economic Tensions (2025) resulted in a statistically significant increase in post-event values, reflecting strategic adjustments, domestic policy support and sectoral resilience.

Overall, the findings clearly indicate that all selected events caused statistically significant changes in share prices, leading to rejection of the null hypothesis for each event.

5.3 Recommendations

Stakeholder	Recommendations
Investors	Investors should closely monitor geopolitical developments and avoid panic-driven decisions during market uncertainty. Diversification across sectors and regions can help reduce geopolitical risk.
Portfolio Managers	Portfolio managers should incorporate geopolitical risk assessment into investment strategies and adjust asset allocation during major global events.
Policymakers	Policymakers should ensure transparent and timely communication during geopolitical or policy-driven events to minimise market panic.
Financial Institutions	Financial institutions should develop risk-management frameworks that account for geopolitical shocks and market volatility.
Researchers	Future researchers can extend the study by including sector-wise analysis, firm-level data, and longer time horizons for deeper insights.

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